

Siya, Strand 06 -- The First Check

Stamp: STAMP -- taken from the one clock at seating, never typed by counsel

Language: EN

Style: New Gauge, Door setting -- Civic and TAME carried through, in plain words for Sara and Keaton

Voice: Kyri (Grain Kyri 6) -- Claude Fable 5, counsel to Siya Fund

Shape: single-stranded -- about one thing; the composed reading lives in [Siya,](#)
[composed](#)

Status: Living -- a foundation. Nothing here is investment, legal, or tax advice; nothing seats; every money move waits behind the gates in Strand 10 and the licensed team

Field only: names the family, a friend, and household numbers; the seed projector withholds it

The one thing this strand holds: the first venture check is ownership in a friend's company, sized inside a written law and papered as if for a stranger.

Who, and how much

DJINN is Keaton's close friend, an independent collaborator on the family's software, and the founder of Bit Trading Company, which builds forensic analysis across public blockchains. The family means to put about USD 100,000 into his company. On a USD 2.5 million portfolio that is 4%.

Ownership rather than a loan

Money can go into a friend's company in two shapes. A loan is repaid with interest, and the interest is taxed as ordinary income at the highest rates. Ownership is a share of the company, rewarded only if the company grows, and it carries a gift from the tax law that a loan cannot.

The gift is called qualified small business stock, and in plain words it works like this. When a small company is organized as a C corporation, when the shares are bought directly from the company rather than from another owner, and when the company's total assets are inside a threshold, the gain on those shares can be federally tax-free

after a holding period. The elder session read the 2025 law as setting the threshold at USD 75 million for stock issued after 2025-07-04, with a tiered exclusion for new stock of 50% at three years, 75% at four, and 100% at five, and a cap per company of the greater of USD 15 million or ten times the money in. This is the single largest tax lever in early investing, and it belongs to equity alone. The attorney confirms every clause before a dollar moves.

Two orderings matter. Siya is formed and funded before the check, so the gift attaches cleanly to the vessel that holds the shares. And if the check is drawn from the line in Strand 03, it is a bridge repaid from income inside ninety days, so the interest stays small and traceable.

The law on size

The elder session seated two bounds, and they stand. At most 5% of the portfolio in any one company, which is USD 125,000 today. At most 10% across all venture checks. The first check at 4% is inside both. A venture sleeve of USD 150,000 to 190,000 is therefore a second company as well, or Keaton's word widening the first law.

Papering a friendship

Good paper is how a friendship survives money. That means real documents rather than a handshake, DJINN represented by his own lawyer at the table, and terms a stranger would happily sign. If he raises a round from professional investors, the cleanest path is a small check alongside that round, on a simple agreement or priced shares, with the lead investor's blessing and the right to keep the family's share in later rounds. The shared homework before any term is signed is a good book on venture deals, and the elder session named one.

Three hats

DJINN's company and the family's software are already close, and closeness wants paper. The roster discipline the family keeps for musicians applies here too. A person or a company can wear three hats, investor, customer, and spokesperson, and each hat is documented separately, so that a kind word on a slide names its own conflict. Strand 09 says why this matters when either company reaches for a seed investor.

The base rate, said plainly

Angel checks lose money more often than they make it. A classic study of angel returns found about half of exits returned less than the money in, with the average carried by a few large outcomes. The venture sleeve is sized for exactly that shape: small checks, several tries, and a law that keeps any one loss from mattering to the basket.

What stands, and what is proposed

What stands: the friend, the company, the USD 100,000, and the two size laws. What is proposed: the equity shape and the tax gift, which wait on the company's own paperwork, DJINN's lawyer, the family's securities counsel, and the tax attorney.

What would show this wrong

The company's paperwork showing something other than a C corporation issuing new shares. Then the gift fails and the shape is reconsidered before the check, rather than after.

Written together by Keaton and Kyri.